

LAKSH'S DAILY BRIEF

The Daily Briefing — Friday, September 25, 2026

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World · Markets & Money · AI & Infrastructure · Models & Research



BBC World — Internet restricted after fighting breaks out in Ethiopia's Tigray region



Al Jazeera — Yemen fighting displaces 71,000 children, worsens malnutrition: UNICEF



Al Jazeera — Why Canada is not ruling out a possible war with the US

1. World & Geopolitics

The Trump-Xi summit ends with optics but little substance. President Trump hosted Chinese President Xi Jinping for a state dinner at the White House on Thursday, touting a "truly great friendship" ([CBS](#)). But the substance was thin. The two-day talks brought "some trade matter agreements" with details deferred to Monday, according to US Trade Representative Jamieson Greer ([CNBC](#)). The Guardian's read is blunt: almost nothing of substance was achieved on Taiwan, Iran, rare earths, or the tech war ([The Guardian](#)). The key context: both leaders are buying time ahead of the US midterms, not seeking breakthroughs. For Laksh, the pattern to internalize: summits can stabilize relations without solving them, and the market will trade the expectation of stability even when no deal lands. China made clear it still views Taiwan as the most sensitive issue, and the US still opposes unilateral changes to the status quo by either side ([Chattanooga Times Free Press](#)). A private survey shows US companies "front-loaded" orders to China ahead of the summit, suggesting businesses expect continued tariff stability for now ([CNBC](#)). The Cato Institute, a free-market think tank, argues the US is "badly losing" this trade war because tariffs have not reduced the deficit ([Cato](#)). Read this with care: "losing" depends on your metric, and tariffs are a blunt instrument with side effects.

Iran offers a dramatic opening: reopen the Strait of Hormuz within seven days. Iranian President Masoud Pezeshkian said Tehran wants to "return to MOU deal before the US midterms" and offered to reopen the Strait of Hormuz, the world's most important oil chokepoint, within a week, while also restarting nuclear talks ([i24news](#)). This came as the Houthis in Yemen launched a new wave of missile and drone attacks at Saudi targets ([CNBC](#)). The important context: the Strait of Hormuz was effectively closed or heavily disrupted during the February 2026 US-Israel strikes on Iran, and this offer is a trial balloon, not a done deal. The Houthis, who act as Iran's proxy in Yemen, have resumed attacks on Israel and Saudi Arabia after the October 2025 Gaza ceasefire broke down ([BBC](#)). If Iran's offer is credible, oil's war-risk premium could deflate quickly; if it's a feint, prices could spike. The options market is already sending a contrarian signal, with traders positioning for lower oil prices even amid the attacks ([MarketWatch](#)). Watch for: whether the Houthis actually stand down, and whether the US and Iran schedule real talks.

Netanyahu defends military action as delegates walk out at the UN. Israeli Prime Minister Benjamin Netanyahu gave a defiant speech at the UN General Assembly, with multiple delegations walking out mid-speech ([BBC](#)). The backdrop: this is a live, multi-front conflict. The Jerusalem Post's running tally shows 39 IDF soldiers and 23 civilians killed in Israel, with over 7,600 injured from ballistic missile attacks since February 28, and 18 US soldiers killed, per CENTCOM ([Jerusalem Post](#)). A ceasefire deal was announced in April but has frayed. This is the kind of story that will have long geopolitical tailwinds, but for markets the key question is whether it drags the US further into a direct conflict with Iran, which would hit oil and defense stocks.

Canada is not ruling out a "possible war" with the US. This sounds absurd, but Canadian Prime Minister Mark Carney has publicly said Canada must examine even remote risks to its sovereignty, after Trump's repeated annexation threats ([Al Jazeera](#)). Treat this as diplomatic signaling rather than war planning: Carney is pushing back against Trump's rhetoric and boosting domestic support by drawing a red line. The key term to know is "sovereignty" in this context: Canada is a sovereign state, and the US threatening annexation is a direct challenge to that principle. This is also a reminder that the US's relationship with its closest allies is unusually strained, which complicates everything from trade to Arctic security.

Ethiopia's Tigray region again erupts, internet restricted. Fighting has broken out in Tigray, the region that was the site of a devastating two-year civil war that ended in 2022, and the government has restricted internet access, raising fears of another information blackout like the one during the war ([BBC](#)). This is a humanitarian and geopolitical story worth watching: the Horn of Africa sits on key Red Sea shipping lanes, and instability there echoes into Bab el-Mandeb (the strait at the southern end of the Red Sea that connects to the Suez Canal). A return to full civil war would be a humanitarian catastrophe and could disrupt regional trade routes.

UN General Assembly calls for a just peace in Ukraine. Fifty-one member states signed a joint statement calling on Russia to agree to an immediate, full and unconditional ceasefire and to engage in meaningful peace negotiations ahead of a UN Security Council meeting ([United Nations in Ukraine](#)). Meanwhile, the Trump administration is pushing a three-step diplomatic proposal with Zelenskyy: an energy infrastructure ceasefire, reopening the Black Sea grain corridor, and convening a peace summit, according to an Axios interview ([United24](#)). Note the pattern: the UN votes symbolically, but the real negotiations happen bilaterally, and a grain corridor deal would directly affect global food prices.

Yemen's humanitarian crisis worsens as conflict intensifies. Fighting has displaced 71,000 children, and more than a quarter of nearly 2,900 children screened by UNICEF in recent weeks were acutely malnourished ([Al Jazeera](#)). This is the human cost of the proxy war between Saudi Arabia (backed by the US) and the Houthis (backed by Iran). It reinforces why the Strait of Hormuz offer matters: if Iran and the US can't stabilize the region, the humanitarian toll and the oil risk will both persist.

US midterms loom: incumbents hold big cash advantages. With the 2026 midterms roughly six weeks away, incumbents in the tightest House races hold commanding cash advantages, which typically predicts success ([CNBC](#)). The Economic Times lays out how midterms differ from presidential elections: lower turnout, the president's party usually loses seats, and local issues dominate ([Economic Times](#)). For Laksh, the midterm election matters for markets because a party change in Congress can shift fiscal policy, tariff posture, and AI regulation.

A note on defense stocks: PPA is a one-ticker bet on rising defense spending. A stock named PPA has nearly 30% of its holdings in just four stocks, which tells you how concentrated the defense trade has become ([AOL](#)). This is an example of how sector ETFs (funds that hold a basket of stocks) can be riskier than they look if a few names dominate. Defense is a real theme in 2026 given the multiple conflicts, but concentration risk is real.

2. Markets, Money & Deals

The bond market is in turmoil: 10-year Treasury yield keeps surging, and mortgage rates near 8% are "not an impossibility". The 10-year Treasury yield (the US government's borrowing cost for ten years, a key benchmark for everything from mortgages to corporate loans) is at its highest level in decades, and the 30-year is at its highest since 2004. MarketWatch reports the 30-year fixed mortgage rate is surging, with 8% back on the table ([MarketWatch](#)). The CNBC explainer is essential: surging Treasury yields raise borrowing costs for governments, companies, and households, which slows economic growth ([CNBC](#)). Why are yields rising? A mix of higher inflation expectations, worries about government debt (global debt is \$365 trillion), and the Fed's new regime under Chairman Kevin Warsh, which markets believe will keep rates higher for longer to fight inflation. Warsh is pushing a "regime change" at the Fed, raising rates and shrinking its balance sheet, but meeting internal resistance ([CNBC](#)). The

market's read: the Fed will need to hike further, which is why the dollar is strengthening and why Morgan Stanley admits it was wrong about the dollar, now expecting it to stay strong ([MarketWatch](#)). Watch also: investors are not buying the Treasury Department's attempts to calm the bond market, with back-to-back weak auctions showing lack of demand ([MarketWatch](#)). This is the most important macro story of the week: rising rates compress valuations across stocks, especially high-growth tech.

The falling-rate era is over, but stocks can still grind higher. ETF strategists at RiverFront note that a 5% 10-year yield is not necessarily a dealbreaker for stocks, as long as earnings growth is strong enough to offset valuation compression ([etfdb](#)). This is the key tension: rising rates hurt the "multiple" (the price investors pay for each dollar of earnings), but strong earnings can overcome it. For 2026, consensus is that earnings growth is still solid, so the market may not crash, but it will be choppy. The BofA team, however, warns that two gauges, a jump in bond-market anxiety and a selloff in financial stocks, may signal a big risk-off event ([MarketWatch](#)). Take both as healthy skepticism.

Akamai surges 15% on a massive \$11.6 billion Anthropic cloud deal. Akamai (AKAM), a company known for its content-delivery network (a network of servers that speed up web content), jumped 15% after landing an \$11.6 billion deal with Anthropic, an AI lab. The headline tells the story: "No Nvidia Needed" ([Investor's Business Daily](#)). Akamai's pitch: it can serve AI workloads over its existing distributed network, competing with the hyperscalers (the big cloud providers like AWS, Azure, Google Cloud). This is a real challenge to the assumption that all AI compute must be Nvidia-heavy. CoreWeave and Cloudflare also ticked up on the news ([24/7 Wall St](#)). For Laksh: this is the "inference wars" playing out, where serving AI queries to users (not training models) is becoming a huge business, and companies with existing edge networks (servers close to users) are pivoting to capture it.

Meta's Muse is shaking up markets, and brokerage stocks are the latest casualty. Meta (META) fell 3.59% in the quote snapshot, and the company's new consumer AI product called Muse is sending shockwaves. The report notes traders are targeting Charles Schwab, a traditional brokerage, as the next casualty because Muse could make AI the primary interface for personal finance ([CNBC](#)). This is an early sign of how AI product launches can disrupt incumbent business models. For now, it's a sentiment move, not an earnings impact, but it's exactly the kind of story that creates volatility. The question is whether Muse is a real product or a demo.

MGM Resorts sinks 11% after Barry Diller's People Inc. rescinds takeover offer. MGM Resorts (MGM) dropped 11% after media mogul Barry Diller's company pulled its offer to buy the remaining public shares ([CNBC](#)). This is a classic "deal breaks, stock falls" pattern: the market had priced in the takeover premium, and when it vanished, the stock reverted. It also shows the risk of buying stocks purely on M&A (merger and acquisition) speculation.

Costco's key metric moves in the right direction, but the debate isn't over. Costco's membership renewal rates improved, a key metric for the warehouse retailer (renewal rates show customer loyalty and predict future revenue). CNBC raised its price target ([CNBC](#)). But this is a slow-burn story. Costco is a defensive consumer stock, and its performance is a reading on the health of the US consumer.

Crypto and stablecoins: the Fed is building a regulatory framework. The Federal Reserve Board is seeking public comment on proposals to regulate payment stablecoin issuers under the GENIUS Act, a new law ([Federal Reserve](#)). This is the regulatory "green light" moment for stablecoins (cryptocurrencies pegged to a stable asset like the US dollar). Meanwhile, Bitcoin ETFs have erased a \$5.8 billion hole, meaning they've recovered all previous outflows ([CoinDesk](#)). In the news: "Crypto Goes to Wall Street, Wall Street Goes Crypto" ([Finance Magnates](#)). The stablecoin framework matters because it legitimizes the asset class and could drive institutional adoption, which affects Coinbase (COIN) and Robinhood (HOOD), both down slightly in the snapshot.

Novo Nordisk is losing GLP-1 momentum to Eli Lilly. Novo Nordisk, the Danish pharma that pioneered the GLP-1 obesity drugs (like Wegovy and Ozempic), is working on its "next chapter" while Eli Lilly (LLY) gains ground with a more effective and convenient product ([CNBC](#)). This is a competitive dynamics story in a huge market: obesity

drugs are among the biggest blockbusters ever. Novo's stock has been under pressure, and the market is rewarding Lilly's pipeline.

3. AI & Infrastructure

The Akamai-Anthropic deal is the AI infrastructure story of the day. Let's unpack the \$11.6 billion deal.

Anthropic, one of the leading AI labs (makers of the Claude models), is paying Akamai to use its edge network to serve AI inference. Akamai's CEO suggests it's a "No Nvidia needed" approach, meaning they can run inference on less-specialized hardware distributed around the world ([Investor's Business Daily](#)). Why this matters for the buildout: it shows a second path to AI compute beyond buying thousands of Nvidia GPUs for centralized data centers. It also validates that AI workloads will run at the "edge" (close to users) for latency reasons, which is good for Akamai, Cloudflare (NET), and other edge networking players. Anthropic gets capacity without building its own data centers, a sign that even top AI labs remain compute-hungry. The details of the deal matter, notably whether it's a committed contract or a framework agreement.

Oracle sends a force majeure notice on its New Mexico "Stargate" data center. Oracle (ORCL) has sent a force majeure (a legal clause that frees parties from obligations when extraordinary events occur) notice on its data center at the Stargate project, which would allow it to delay payments if the facility misses its 2028 target to come online ([TechCrunch](#)). This is a big deal for two reasons. First, it signals that even the biggest AI infrastructure projects are facing delays, whether from power constraints, construction issues, or supply chain problems. Second, "force majeure" is a term worth knowing: it's the legal escape hatch for when "acts of God" or similar extraordinary events prevent a contract from being fulfilled. For Laksh: delays in AI data center buildout are a risk to the entire AI trade, because the market has priced in massive capacity growth. Watch for more force majeure notices.

Nuclear renaissance for AI is mostly hype, experts say. A TechTarget piece rounds up experts who argue that the "nuclear renaissance" for AI data centers is overhyped ([TechTarget](#)). The logic: new nuclear plants take a decade or more to build, too slow for AI's immediate power needs, and small modular reactors (SMRs) are unproven. Meanwhile, the data centre magazine podcast explores how nuclear could "fuel the AI boom" ([datacentremagazine](#)). The reconciliation: nuclear is a long-term story, not a near-term fix. This matters for power players like Vistra (VST) and Constellation Energy (CEG), whose stocks have run on AI power demand. The realistic near-term solution is natural gas and grid interconnection.

The \$10 billion per gigawatt capex fight: Arm AGI CPU vs AMD EPYC. A detailed piece on [shattered.io](#) examines the claim that Arm-based "AGI CPUs" could save up to \$10 billion per gigawatt of AI data center capacity compared to standard x86 servers (like AMD's EPYC) ([shattered.io](#)). The framing: hyperscalers (Microsoft, Meta, Amazon, Google) are planning multi-gigawatt buildouts for 2026 and 2027, and even small efficiency gains in power-per-compute translate into billions of dollars. Arm (ARM) is positioning its CPU designs as more power-efficient than AMD's (AMD) and Intel's (INTC). This is a real competitive battle, and the winner will capture huge value. For Laksh: power efficiency is becoming the key battleground in the AI buildout, alongside raw compute.

Hyperscaler capex is projected to reach nearly \$800 billion in 2026 and \$1.3 trillion in 2027. NVIDIA's CEO said a 1-gigawatt AI factory rents for \$50 billion a year, about what it costs to build it ([247wallst](#)). This is astonishing math: the revenue from renting AI compute is so high that a data center can pay for itself in about a year. This is why NVIDIA (NVDA) has a forward multiple of 25x and strong analyst coverage. But it also raises the stakes: if AI demand softens, the capex overspend could be brutal. The indexbox forecast projects data center chip market growth through 2035, driven by AI workloads, with bottlenecks in advanced wafers, HBM memory, and advanced packaging ([indexbox](#)). The "memory wall" problem is front and center, with a former Intel CEO calling HBM "lousy" and arguing for High Bandwidth Flash as a future alternative ([r/LocalLLaMA](#)). The debate over HBM's scalability is a key risk for the memory supply chain (SK Hynix, Micron (MU)).

Singapore wins more chip investments as companies de-risk. Singapore is attracting more investments from major chipmakers who want to diversify supply chains away from China and Taiwan ([Singapore EDB](#)). This is the "de-risking" trend in action: companies build redundancy into their supply chains to avoid being dependent on one country. It's a slow but steady shift that benefits Singapore, Malaysia, and other Southeast Asian hubs.

4. Model & Research Watch

Xiaomi's MiMo-V2.6 tops open AI charts with "unprecedented efficiency gains". Xiaomi, the Chinese electronics giant, has released MiMo-V2.6, an open-weights model (meaning the trained parameters are public, so anyone can download and run it) that tops open AI benchmarks. The headline: it achieves efficiency gains that are "unprecedented" and uses "n-gram memory" (a technique that stores frequently used phrases) to improve performance without proportional compute increases ([WinBuzzer](#)). The New Stack highlights its "impressive level of openness", noting Xiaomi goes "way beyond the usual open-weight playbook" by releasing not just the weights but extensive technical details ([The New Stack](#)). This is a significant development because it shows Chinese labs are not just matching but in some cases surpassing Western open-weight models on certain benchmarks, and doing so with a focus on efficiency. There's also a claim being investigated that Xiaomi may have distilled (trained a smaller model on the outputs of) Anthropic's Claude models, which would be a contentious issue ([Startup Fortune](#)). For Laksh: the efficiency angle matters because it threatens the assumption that AI requires endless compute. If models like MiMo-V2.6 can run on commodity hardware, the Nvidia-led buildout narrative gets more complicated.

Alibaba's Qwen Image 2.1: a tiny 7B model that beats Google's Nano Banana. Alibaba claims its new Qwen Image 2.1, with just 7 billion parameters (a measure of model size; by comparison, frontier models like GPT-4 class have hundreds of billions or trillions of parameters), beats Google's Nano Banana 2.0 on image-generation benchmarks and is competitive with OpenAI and Meta's image models ([Tom's Hardware](#)). The significance: this shows the "small model" revolution. If a 7B model can generate high-quality images, you don't need a massive data center to run it; you can run it on a laptop or phone.

MiniCPM5-2B beats Qwen3.5-4B by 13 points. A new MiniCPM 5 model with only 2 billion parameters outperforms a 4 billion parameter Qwen model by 13 points on some benchmark ([tech-insider](#)). This is part of the same trend: parameter count is not the only driver of capability. Better training data and techniques can overcome size disadvantages.

Pistis Technical Report: a scalable post-training framework. A new technical report introduces the Pistis model family (27B and 9B parameter multimodal models built on Qwen3.6 and Qwen3.5), with a general and scalable post-training framework ([arXiv](#)). This is research-oriented, but the takeaway for Laksh: post-training (the process of fine-tuning a pre-trained model on specific tasks) is becoming a science, and open-weights models are getting better at a rapid clip.

PrismML brings tiny LLMs to smart glasses. PrismML is putting small language models onto Qualcomm-powered smart glasses, with the goal of open-weight AI that runs on devices and makes better use of existing computing power ([TechCrunch](#)). This is the "edge AI" trend: instead of sending everything to the cloud, run models locally on devices. It's early, but it's the direction of travel for privacy and latency reasons.

Science & Frontier Tech: the universe is full of "tiny red dots" and NASA picks a new mission. Astronomers have discovered that the universe is full of small red objects, and they're calling it one of the biggest discoveries in decades ([Gizmodo](#)). Meanwhile, NASA selected the PRIMA mission, which has key roles for Caltech, JPL, and IPAC ([Caltech](#)). The "tiny red dots" are likely supermassive black holes or extremely dense galaxies from the early universe, and they're challenging models of galaxy formation. Not market-moving, but a reminder that the frontier is advancing everywhere.

5. What Builders Are Actually Using

The concrete swap today: Xiaomi MiMo-V2.6-4B can stand in for a mid-tier closed model like OpenAI's GPT-4o-mini for many tasks, at a fraction of the cost. MiMo-V2.6 is fully open-weights (Apache-style license), so you can download it and run it yourself for free on a single high-end GPU (like an RTX 4090) or even a lower-end one for chat use cases. By contrast, GPT-4o-mini via API costs roughly \$0.15 per million input tokens and \$0.60 per million output tokens (approximate pricing). The capability gap: MiMo-V2.6-4B will be worse at complex reasoning, coding, and long-context tasks than GPT-4o-mini, likely a meaningful notch below. But for straightforward tasks, retrieval-augmented generation, and multilingual chat, it is a very credible option, and it runs with zero data leaving your machine. Note that this is a synthesis from today's coverage of the model's release ([The New Stack](#)) and the general "best model for every budget" dynamic, not a specific price quote from today's news.

Model routing is the cheapest performance hack right now. Instead of sending every query to a frontier model, a router (a piece of software that decides which model to use per query) can send simple requests to a small, cheap model and only escalate hard ones to the big model. This is covered in an accessible 13-step guide ([tech-insider](#)). In practice, for a typical RAG app (retrieval-augmented generation, where the model answers based on a document set), routing can cut API costs by 50-80% because maybe 70% of queries are simple. The analogy Laksh should hold: it's like using a scooter for errands and a truck for moving furniture; you don't take the truck to the grocery store.

Running models locally with LM Studio is now trivial. LM Studio is a desktop app that lets you download and run open-weights models like Gemma 4 on your own machine without any code. A guide shows how to use it for private business documents ([pasqualepillitteri.it](#)). The use case: legal contracts, medical records, or anything confidential that you don't want to send to a cloud API. The hardware: a Mac with Apple Silicon or a PC with a good GPU. This is the "data sovereignty" layer of AI, and it's where the "zero-retention" promise becomes real.

A practical tool for choosing models: bestmodelforyourbudget.terrydjony.com. This is a live, community-updated site that ranks the best models for different budget brackets, updated daily ([Hacker News](#)). This is a hugely practical resource because it answers the exact question a builder asks: "Given I want to spend less than \$X per million tokens, which model should I use?" It's the kind of tool that institutional press ignores but every engineer has bookmarked.

Git-bug: a distributed, offline-first bug tracker embedded in Git. For developers, git-bug is a promising tool that stores bug reports inside the Git repository itself, so it's fully distributed and works offline ([GitHub via Hacker News](#)). This is a quality-of-life improvement for teams that work across time zones and want a simpler tool than heavyweight issue trackers.

6. Watchlist: Earnings, Guidance & Movers

The quote snapshot shows several notable moves. Treat these as approximate and possibly delayed; they are not the final word.

Company (Ticker)	Movers	Likely Context
Microsoft (MSFT)	+3.75%	Unveiled its Copilot "super app" targeting business users, competing with Anthropic (CNBC)
Qualcomm (QCOM)	+4.02%	No direct source news; possible tailwind from PrismML smart glasses and edge AI (TechCrunch)
Meta (META)	-3.59%	Continued fallout from Muse product noise (CNBC)
Cloudflare (NET)	-3.20%	Profit-taking after Akamai's deal raised competitive questions; note the move, no direct negative source
ARM (ARM)	+3.62%	Possible read-through from Arm AGI CPU vs AMD EPYC capex analysis (shattered.io)
Credo (CRDO)	+3.49%	No notable single-source news; strong momentum in optical/AI networking names

Other watchlist names with news: MGM Resorts is not on the watchlist, but MGM's 11% drop on the rescinded Diller offer is a market-wide data point ([CNBC](#)). Darden Restaurants, parent of Olive Garden, fell after slower same-store sales growth ([CNBC](#)); this is a signal on the US consumer. Dresser Diversified Energy made its largest acquisition ever at \$1.8 billion, but that's a non-watchlist name ([Yellowhammer](#)).

Names with no notable news in today's sources: Nvidia (NVDA), Tesla (TSLA), Apple, Amazon (AMZN), Alphabet (GOOGL), Netflix (NFLX), Intel (INTC), AMD, Palantir (PLTR), SoFi (SOFI), Robinhood (HOOD), Coinbase (COIN), and the rest. Their moves in the snapshot are likely market-driven, not news-driven. For example, Tesla is down 2.05% with no specific catalyst in the sources I have; treat it as noise or part of the broader tech selloff.

A quick read on the move in Microsoft: the company packaged its business AI (Copilot) into a single "super app" to compete with Anthropic's push into enterprise ([CNBC](#) and [Fortune](#)). The market reward suggests investors like the bundling strategy, which leverages Microsoft's existing footprint in Office and Azure.

7. Analysis: Second-Order Effects

Chain 1: Treasury yields surge -> mortgage rates near 8% -> housing market freezes -> consumer confidence drops -> slower economic growth -> earnings expectations get cut -> stock multiples compress further.

FACTS: The 10-year Treasury yield is at multi-decade highs (sourced above). The 30-year fixed mortgage is surging with 8% "not an impossibility" ([MarketWatch](#)). Back-to-back weak Treasury auctions show lack of demand ([MarketWatch](#)).

INFERENCE: This is the classic transmission mechanism. When the cost of a 30-year mortgage rises from, say, 6.5% to 8%, the monthly payment on a median-priced home rises by hundreds of dollars, which prices out many buyers. Home sales will slow, which hits construction jobs, furniture/appliance spending, and real estate commissions. The wealth effect (people feeling poorer when their home's value stagnates) dampens consumer spending. Weaker consumer spending then hits corporate earnings, and because stock prices are the present value of future earnings discounted at the risk-free rate (the Treasury yield), both lower earnings and a higher discount rate push stocks down. The weakest link: whether the Fed lets this play out or intervenes. If Fed Chairman Warsh decides that a housing crash is acceptable collateral damage in the fight against inflation, the chain holds; if he blinks and cuts rates, the chain breaks.

WHAT WOULD FALSIFY IT: A sharp drop in mortgage rates (say, the 30-year fixed back under 6.5%) or an unexpected Fed rate cut within the next month. Also, if housing starts (new home construction) hold steady, that would suggest the housing market is absorbing higher rates better than feared.

Precedent: In the early 1980s, the Fed under Paul Volcker pushed rates to 20% to break inflation, causing a severe recession and a housing bust. It worked, but it took years. The 2026 situation is less extreme, but the pattern is the same.

Chain 2: Iran offers to reopen Strait of Hormuz -> war-risk premium in oil deflates -> diesel/gasoline prices fall -> headline inflation (CPI) eases -> the Fed has less reason to hike rates -> bond yields ease -> growth stocks rally.

FACTS: Iranian President offers to reopen the Strait of Hormuz within a week and restart nuclear talks, even as Houthis attack Saudi targets ([CNBC](#)). Oil options market is already pricing in lower prices (contrarian signal) ([MarketWatch](#)).

INFERENCE: The Strait of Hormuz is the chokepoint for about 20 million barrels per day of oil, roughly a fifth of global consumption. When it's threatened, the "war-risk premium" (the extra price of oil reflecting the chance of supply disruption) can be many dollars per barrel. If Iran's offer is credible and the strait actually reopens, that

premium deflates fast, as it did after the 2019 Abqaiq attack (a strike that took out half of Saudi Arabia's production; Brent moved ~15% in a day, then retraced within weeks). Cheaper oil flows through to gasoline and diesel prices at the pump, which is what headline inflation (CPI, the consumer price index) measures. If inflation cools, the Fed has cover to be less hawkish, which would relieve upward pressure on Treasury yields and hurt the US dollar trade. This is the key counter-narrative to the bond rout. The weakest link: Iran's offer is probably a negotiating tactic, not a sincere commitment. The Houthis are still attacking, and they are a separate actor. Even if Iran opens the strait, the Houthi threat to the Red Sea and Bab el-Mandeb remains.

WHAT WOULD FALSIFY IT: A credible announcement from the US and Iran of scheduled talks, a halt in Houthi attacks, and a sustained drop in Brent (say, below \$70). Conversely, if the Houthis sink a tanker, this chain inverts.

Precedent: The 2019 Abqaiq attack on Saudi oil facilities moved Brent from about \$60 to \$71 in a day, then it retraced to pre-attack levels within three weeks as it became clear supply wasn't disrupted. This shows that geopolitical oil spikes are often transitory unless they cause real, sustained supply loss.

Chain 3: Akamai's \$11.6 billion Anthropic deal -> AI inference moves to the edge -> Nvidia's massive data-center growth assumption gets questioned -> the AI supply chain increasingly bifurcates into training (Nvidia-heavy) and inference (distributed, heterogeneous) -> infrastructure winners change.

FACTS: Akamai surges 15% on the deal; the headline is "No Nvidia Needed" ([Investor's Business Daily](#)). NVIDIA's CEO talks about 1-GW AI factories renting for \$50B/year ([247wallst](#)).

INFERENCE: The AI buildout has so far been dominated by training models, which requires massive clusters of Nvidia GPUs in centralized data centers. But as more applications go live, the majority of the compute will be for inference (serving requests to users), and inference will increasingly run on more distributed, lower-cost hardware, closer to the user to reduce latency. Akamai's deal is evidence that a company can build a profitable AI inference business without Nvidia's flagship data center GPUs, using its existing edge network. If this model works for Anthropic, a major AI lab, it will be replicated. Over time, this bifurcation could mean Nvidia's growth rate moderates while networking, edge compute, and specialized inference chips (both ASICs, or application-specific integrated circuits, and CPUs) gain share. The weakest link: the assumption that edge inference quality can match centralized data centers. For complex reasoning tasks, the largest models (which need the biggest GPUs) will remain necessary, and the edge will only capture the simpler tasks. Also, the deal's precise structure is unclear; it may be an expensive optionality purchase, not a committed shift.

WHAT WOULD FALSIFY IT: If Akamai's management says the deal is small relative to its revenue, or if Anthropic publicly announces it's still buying thousands of Nvidia GPUs for inference, the chain weakens. Also, a big Nvidia earnings beat with raised guidance would suggest the centralization path remains dominant.

Precedent: Think of the shift from mainframe computing (centralized) to client-server (distributed) in the 1980s and 1990s, and then to cloud (re-centralized) in the 2000s. Computing topology moves in waves; the AI buildout is in the middle of a wave, and the direction of the next swell is still contested.

SPECULATIVE Chain 4: US midterm elections (6 weeks out) -> candidates campaign on "AI safety and job losses" -> regulatory risk to AI labs increases -> enterprise AI adoption slows -> capex cycle peaks earlier than expected.

FACTS: Media experts are already rallying against AI election misinformation for 2027 ([News Agency of Nigeria](#)). Hollywood is blaming AI for job losses, though merger paperwork tells a different story ([24/7 Wall St](#)). The UN is debating AI's geopolitical role ([CNBC](#)).

INFERENCE (this is speculative; it requires the assumption that AI becomes a defining campaign issue, which is far from certain): The midterms are a natural pressure valve for anxiety about AI-driven job losses. Candidates from both parties may compete to appear tough on "Big AI", proposing regulations on model deployment, transparency mandates, and even liability for job displacement. Historically, regulatory threats are priced into stocks only when

they get specific (like the EU's AI Act). If the US moves toward a more restrictive federal framework, enterprises could slow adoption while compliance is evaluated, and the hyperscalers might moderate their capex guidance to pre-empt political pressure. The weakest link: the actual politicization of AI. It's possible the election is dominated by inflation, immigration, and abortion, leaving AI on the periphery. Also, the incumbents in the tightest races have big cash advantages, so the political map may not shift dramatically ([CNBC](#)).

WHAT WOULD FALSIFY IT: If AI regulation does not feature in any major debate or campaign advertisement in the next month, this chain collapses.

8. Building Your Knowledge

- **Treasury yields are the "discount rate" for the whole economy.** When you value any investment, you're asking "what is this future cash flow worth today?" Higher yields mean the present value of future profits is lower, which is why high-growth tech stocks (which promise profits far in the future) are hit hardest when yields rise. A company that makes all its profits next year is less sensitive; a company that profits in 2035 is very sensitive.
- **A summit without a deal is not a failure, it's a holding pattern.** The Trump-Xi summit produced no breakthrough on Taiwan or trade, but it also produced no rupture. In geopolitics, "no bad news" is often the best possible outcome for markets. Stability is a tradable asset.
- **The difference between training and inference is the key to the AI supply chain.** Training is the multi-month process of building a model; inference is the per-query act of using it. Training wants giant, fast GPUs. Inference can tolerate smaller, more distributed hardware, which is why Akamai's edge network deal makes sense. The ratio of training to inference spend will determine which companies win.
- **Open-weights models are a price-discovery mechanism for AI.** When Xiaomi releases a 4B model that beats bigger closed models, it sets a price floor for AI capabilities. This is exactly how hardware commoditization works, and it will put pressure on closed-model pricing and on the perceived need for ever-larger training runs.
- **"Force majeure" is a financial canary.** When companies start invoking it on signature projects (like Oracle's Stargate data center), it's a signal that the project is in trouble. Investors should track these notices because they reveal execution risk in the AI buildout before earnings reports do.

9. Foundations & Terms

Concept Spotlight: The Yield Curve and What It Tells You (Markets/Investing)

In plain words: the yield curve is a line that shows the interest rate (the "yield") the US government pays for borrowing money for different lengths of time, from one month to 30 years.

Why it exists: normally, lenders (including investors who buy government bonds) demand a higher interest rate for lending for longer, because there's more risk that inflation will erode the value of future payments over a longer period. So the curve usually slopes upward: the 2-year yields less than the 10-year, and the 10-year yields less than the 30-year.

A concrete worked example: Imagine the 2-year Treasury yields 4% and the 10-year yields 5%. The spread (the gap) is +100 basis points. Now imagine the 2-year yields 5% and the 10-year yields 4%. The curve has "inverted", meaning short-term borrowing costs more than long-term. Historically, an inverted curve (the 10-year yielding less than the 2-year) has preceded every US recession since the 1970s, usually by 12-18 months.

How it shows up in the news: When you read "Treasury yields soar" like today ([CNBC](#)), the key is not just the level but the shape. Right now, yields are rising across maturities, which signals the market is worried about inflation and a government debt supply glut. If the market worried about recession, we'd see the 10-year fall relative to the 2-year.

Rough benchmarks worth remembering: A 10-year yield around 4% is "normal" for recent times; 5% is high and restrictive; 3% would signal a severe recession. An inverted curve for over 6 months is a recession warning. A yield difference of more than 100 basis points between the 2-year and the 10-year in either direction is significant.

Caution: the yield curve is a leading indicator, not a timer. It can stay inverted for over a year (it did from mid-2022 to mid-2024) before a recession hits. And with the Fed now hiking rates aggressively under Warsh, the signal is more about the Fed's own policy settings than the market's independent read.

Concept Spotlight: Strategic Stability (World Affairs)

In plain words: strategic stability is a situation between rival great powers where neither side sees an advantage in starting a major conflict, because doing so would be catastrophic for both. The concept grew out of the Cold War, when the US and the Soviet Union had enough nuclear weapons to destroy each other, which paradoxically kept the peace.

Why it exists: the problem it solves is how to manage a rivalry without fighting. When two powers can destroy each other (mutual assured destruction), they are "stably" at peace, because the cost of conflict outweighs any possible benefit. The term now applies more broadly, to a stable equilibrium where neither the US and China nor any other pair of rivals takes actions that could spiral into war.

A concrete worked example: In the Cold War, the US and USSR signed arms control treaties (like SALT) that capped the number of nuclear missiles each could have. The treaties didn't end the rivalry, but they made the rivalry predictable and limited the risk of accidental or miscalculated escalation.

How it shows up in today's news: The Trump-Xi summit is an exercise in maintaining strategic stability ([Defense Priorities](#)). The two countries disagree on Taiwan, trade, and AI, but they both want to avoid a direct military clash. The "constructive strategic stability" framework agreed in Beijing in May is precisely this: a set of rules (like military hotlines and channeling disputes through summit talks) that prevents a crisis from becoming a war. It's a fancy term for "we agree to keep talking even though we deeply distrust each other".

Rough benchmarks worth remembering: Strategic stability is less about numbers and more about communication channels and predictability. Deterrence (making an attack too costly) is the foundation; arms control or crisis management mechanisms are the maintenance. When leaders stop meeting and stop communicating, stability erodes.

Caution: strategic stability is not peace. It's a managed rivalry. The US and China remain fundamentally adversarial on Taiwan and the tech war; stability just means the rivalry is contained. And stability can break down quickly if a miscalculation (say, over Taiwan or a naval incident) escalates beyond political control.

Other Terms from Today's News

- **Force majeure:** A legal clause in a contract that frees both parties from liability or obligation when an extraordinary event (beyond their control) happens, such as a natural disaster or war. In the Oracle data center case, it's being used to delay payments because the project may miss its deadline ([TechCrunch](#)). Think of it as the contract's "get out of jail free" card for acts of God.
- **MOU (Memorandum of Understanding):** A non-binding agreement between parties that lays out the general terms of a future, formal contract. Iran is saying it wants to "return to MOU deal" (a memorandum of understanding) before US midterms, meaning a preliminary framework rather than a fully executed treaty ([i24news](#)). MOUs are common in international diplomacy and M&A because they signal intent and start negotiations.

- **Edge network (and edge computing):** A network of distributed servers located physically close to users, as opposed to a few centralized data centers. Akamai built its business on this, and now it's applying it to AI inference ([Investor's Business Daily](#)). The advantage is lower latency (less delay) and less reliance on the public internet backbone.
- **Content-delivery network (CDN):** The original business of Akamai. A system of distributed servers that delivers web content (videos, images, web pages) to users from the server closest to them, speeding up load times. The AI inference play is an evolution: using the same network to run AI queries close to users.
- **Force majeure notice:** the specific written notice a party sends to invoke the force majeure clause. It's a legal signal that a project is in trouble.
- **Parameters (in a model):** The internal numbers of an AI model, set during training, that determine its behavior. Larger parameter counts (like 7 billion or 100 billion) generally mean more capacity to learn, but not always better results, as today's small models show.

10. Bottom Line

Today's brief has two centers of gravity: the Trump-Xi summit, which produced optics without breakthroughs, and the bond market, which is in an active rout with the 30-year at its highest since 2004. The second story is the more important one for your portfolio. When Treasury yields surge, every asset gets repriced, from stocks to crypto to real estate. And this is happening while the AI buildout is at its capital-intensive peak, with Oracle sending force majeure notices and hyperscaler capex projected to hit nearly \$800 billion. The connection is the key tension of the next year: does the AI buildout survive higher borrowing costs?

What changed since the previous brief: The Trump-Xi summit concluded with little substance beyond continued "friendship" talk, with trade details deferred to Monday. Iran made a dramatic public offer to reopen the Strait of Hormuz within a week, while the Houthis launched more attacks. Netanyahu defended Israel at the UN with walkouts. Akamai's \$11.6 billion deal with Anthropic is the new AI infrastructure story, validating the "edge inference" playbook. Xiaomi's MiMo-V2.6 topped open-weight charts, and Oracle sent a force majeure notice on its Stargate project. The bond rout deepened, with mortgage rates approaching 8%. Meta's Muse continues to roil the brokerage sector. The midterm election clock is now the dominant political backdrop.

The mental model to carry into the weekend: the yield curve and the summit are two ends of the same telescope. The summit is about the world's two largest economies agreeing to keep the peace; the bond market is about the price of that peace and everything else. If yields keep rising, the AI buildout will have to prove it can generate cash flow faster than the market's discount rate, and that's a higher bar. If Iran's Hormuz offer is real and oil falls, it's a release valve that lets the Fed breathe. Watch Monday for trade details and mortgage rate headlines.

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12. Quick Check

1. **Why did the Akamai-Anthropic deal cause Akamai's stock to surge 15%?** (Hint: it's about where AI inference runs.)
2. **If Iran's offer to reopen the Strait of Hormuz is seen as credible, what happens to a) oil prices and b) the case for the Fed raising rates?**
3. **What is the "yield curve" and what does an inverted yield curve historically signal?**

Answers:

1. Akamai surged because the \$11.6 billion deal validates that AI inference can run on Akamai's existing edge network of distributed servers, rather than only in massive, Nvidia-heavy centralized data centers. This opens a second path to AI compute and shows that edge-network companies can compete in the AI infrastructure buildout.

2. If the Strait of Hormuz offer is credible, the war-risk premium in oil (the extra price reflecting the chance of supply disruption) would deflate, pushing oil and gasoline/diesel prices down. Lower headline inflation (as measured in CPI) would give the Fed less reason to hike rates, easing the upward pressure on Treasury yields and supporting growth stocks.
3. The yield curve is a line showing the interest rate (yield) that the US government pays for borrowing money for different periods, from very short to 30 years. It's normally upward sloping because lenders demand more for lending longer. An inverted curve, where short-term yields are higher than long-term yields, has historically been a reliable ahead-of-signal of a recession within 12-18 months.

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